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THE WHITE HOUSE

WASHINGTON

MEMORANDUM OF CONVERSATION

SUBJECT: Welcoming Banquet in Beijing, China

PARTICIPANTS: U.S.
The President
Vivian Chang, Interpreter and Notetaker

China
President Yang Shangkun
Premier Li Peng

DATE, TIME February 25, 1989, 7:40 p.m. - 9:00 p.m.
and PLACE: Great Hall of the People, Beijing, China

Pakistan

The President asked Yang's and Li's opinions on Bhutto's ability to remain a strong leader.

Yang and Li both agreed that she can stay in power as long as she can get along with the military.

The President remarked that it was encouraging to see that Yaqub Khan has remained her foreign minister despite his past closeness to Zia.

Yang disclosed, however, that she had another foreign policy advisor seated next to her when she visited China. This person (name not mentioned) was apparently jailed during Zia's rule.

The President mentioned his concern with his ability to certify to Congress that Pakistan was not building a nuclear weapon, but was encouraged by Bhutto's assurances in Tokyo.

Soviet Union

The President spoke at some length about Gorbachev's ability to succeed at Perestroika.

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Yang and Li both hoped he succeeds, but Yang predicted it would be at least ten years before they will see any results because it has taken China that long (since the 1978 Third Plenum) to see results. Yang noted that Kissinger was just in China to see him and as very pessimistic about Gorbachev.

The President said he was aware of Kissinger's views.

The President pointed out one major problem the Soviet Union has that China does not in carrying out reforms, i.e., Soviet satellite countries like Poland and Hungary wanting to reform more quickly than the Soviets would like.

Li remarked that China would not welcome the kind of labor problems that Poland is experiencing with Solidarity.

The President said that his senior advisors are undertaking a review to determine what steps to take next vis-à-vis the Soviet Union. His aim is to devise an attractive proposal to cut back on personnel in order to save on the defense budget.

Intelligence Cooperation

The President expressed appreciation for China's cooperation in the sensitive intelligence area.

Yang said he was familiar with the joint efforts that were quickly built out of prefab parts from the U.S. in order to detect a Soviet "apparatus." Later Yang specially pointed out General Xu Xin as the man in charge of the project.

Toast

Li remarked that he enjoyed the President's toast, but would point out just one thing -- that China is not a nuclear power on the same footing as the U.S. (referring to page 2, last paragraph). He said China has nuclear "power" (as in nuclear energy), but does not have a lot of nuclear weapons.

The President said he would be careful next time with the word "power" if it might be misinterpreted in Chinese.

[Interpreter's note: In general, the atmosphere during the dinner was very cordial. Both Li and Yang seemed interested and participated in the conversation equally.]